

BLOW BY BLOW

The entire trouble over gas, from bidding to battle-stations



APRIL 2000

A consortium of RIL and Niko successful bidder for KG-D6

JUNE-JULY 2004

RIL bid to supply gas to NTPC at \$2.34 per mmBtu accepted

JUNE 18, 2005

MoU signed among the family members of RIL promoters, which includes gas supply contract between RIL and RNRL

AUG 5, 2005

The Board of RIL approves Scheme of Demerger

DEC 9, 2005

Mumbai High Court sanctions the Scheme of Demerger

APRIL 2006

RIL seeks approval for price of \$2.34/mmBtu in sale to RNRL

JULY 2006

Petroleum Ministry rejects RIL's pricing

NOV 8, 2006

RNRL files case against RIL

APRIL-MAY 2007

RIL reports price discovery at \$4.32 to the ministry

OCT 15, 2007

The Company Judge delivers judgement in RNRL-RIL dispute

JAN 2008

Both RIL and RNRL file appeals

MAY 2008

EGoM approves gas utilisation policy across sectors

JAN 30 2009

Court allows gas contracts between RIL and new buyers

JUNE 15, 2009

Division Bench upholds MoU in RNRL-RIL case

ANIL AMBANI

"My respected elder brother has already made it amply clear that he does not visualise any further role for my respected mother in resolving this or any other matter."

MUKESH AMBANI'S SPOKESPERSON

"We do not wish to comment on baseless, malicious and wrong accusations."

in legal fees alone. Already junior advocates found time to shop for jazzy wheels and are now driving into the decrepit Shastri Bhavan to advise mandarins of the petroleum ministry in 5-Series BMW while senior advocates are known to have shifted from Beamers to Bentleys.

The possible outcomes of the case are delightfully diverse. The questions relate to who owns the gas, can gas be sold freely at market price to any customer by an investor and, of course, the sanctity of an MoU. How will the Government react if the court upholds the MoU, says the gas is a sovereign asset but the investing companies have the freedom to price it and sell it as long as the Government take does not suffer. This would mean that Anil, as per the MoU, gets first charge over new finds in

the declared ratio of 60:40. Even now, if Anil gets his 28 mmcmd and the 12 mmcmd that was promised to NTPC, he will have 40 of the 80 mmcmd currently produced by the field. This would contravene the gas utilisation policy which puts power behind fertiliser in the queue. Will he be able to jump the queue?

Outside the "what if" possibilities of the litigation there are other questions. What will mother Kokilaben do? Will she stand by and see the legacy of Dhirubhai being dented? There is also speculation about non-implemented parts of the MoU that will come up for discussion soon. What will be its impact? Now that it has been revealed that the MoU is a secret document, there is speculation on what else it contains that is not known. There could be many

more surprises. Given the scale of operations and ambitions, don't rule out a double sequel this season.

At the end of the day, the battle for gas is for wealth. On the face of it, the loss—if RIL has to supply the gas at \$2.34 per mmBtu—is around Rs 42,000 crore. But it is not just absolute loss that is the issue. It is not a simple loss for one translating to gain for the other. Transfer of gas assets to RNRL or to ADAG power companies will boost growth, revenues and valuations, which at the end of the day, is what the battle is about. It is about the brothers' obsession to be the biggest wealth creators. Anil may well say, like the Godfather, this war is not personal, it's business. But wealth, that is personal.

*with Shafi Rahman and
Nivedita Mukherjee*